

UNIT 5 · TOPIC 5.7

Dynamic Pricing and Revenue Management

Selling the right seat, to the right person, at the right price.



B.B.A. Aviation Management · Semester III · Unit 5: Technology & Trends
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TOPIC 5.7

Mission Video Briefing



Air Ticketing & Fare Construction · Unit 5: Technology & Trends · Topic 5.7

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TOPIC 5.7

Mission Question



THINK ABOUT IT

Why does the price sometimes jump when you search the same flight again?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2-3 answers with the class



TOPIC 5.7

Mission Briefing

1

5.7.1

Overview of revenue management in the airline industry

2

5.7.2

How dynamic pricing works and its impact on ticket costs

3

5.7.3

Factors influencing price adjustments: demand, time to departure, seasonality

4

5.7.4

Revenue optimisation strategies used by airlines



MISSION OBJECTIVES

- Define revenue management and key metrics
- Explain dynamic pricing mechanics
- Analyse price drivers
- Apply optimisation strategies to a problem

Pedagogy: Learning Through Problem-Solving



TOPIC 5.7.1

What Is Revenue Management?

**Perishable product**

An empty seat earns nothing once the aircraft departs.

**Different customers**

Some book early and cheap; others late and pay more.

**Maximise revenue**

Balance load factor and average fare.

**DEFINITION**

Revenue management is the science of forecasting demand and controlling seat inventory and prices to maximise revenue from each flight.



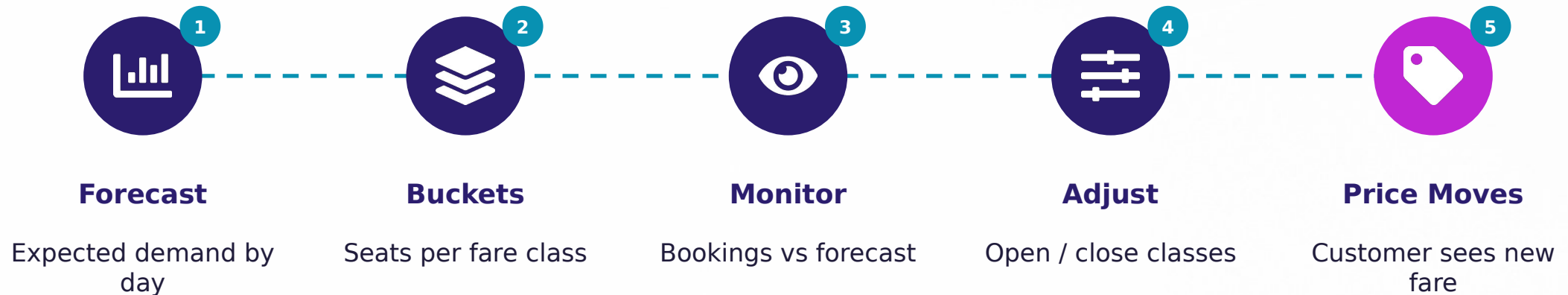
TOPIC 5.7.1

Key RM Metrics

Metric	Meaning
Load factor	% of seats filled ($RPK \div ASK$)
Yield	Average revenue per passenger-km
RASK	Revenue per available seat-km
ASK	Available seat-km = seats $\times$ km flown
RPK	Revenue passenger-km = paying passengers $\times$ km

TOPIC 5.7.2

How Dynamic Pricing Works



TOPIC 5.7.2

Impact on Ticket Costs (Illustrative)

DEL-BOM economy fare path for one flight.

₹4.2k

60 days out

₹5.5k

21 days out

₹8.9k

3 days out

₹12k+

day of departure



Prices can also fall if bookings are slower than forecast.



TOPIC 5.7.3

Price Drivers

**Demand**

Bookings above forecast = prices rise.

**Time to Departure**

Late bookers usually pay more.

**Seasonality**

Holidays, festivals and events.

**Competition**

Rival fares and capacity changes.



TOPIC 5.7.3

Ethics of Dynamic Pricing



Arguments For

- Fills more seats
- Low fares for flexible travellers
- Keeps airlines viable

VS



Concerns

- Very high emergency fares
- Surge during disasters or festivals
- Transparency and fairness



TOPIC 5.7.4

Revenue Optimisation Strategies



Overbooking

Sell above capacity using no-show forecasts.



Nesting

Protect seats for higher-fare demand.



O&D Control

Value seats by whole journey, not just the flight.



Ancillaries & Bundles

Extra revenue beyond the fare.



TOPIC 5.7.4

Problem: Accept or Reject?

One seat left on BOM-DXB.

- Request A: BOM-DXB local ₹14,000.
- Request B: BOM-DXB-LHR connecting, BOM-DXB share ₹11,000.
- Forecast: another local passenger likely at ₹18,000.
- What should the system do?



O&D DECISION (illustrative)

```
REQ A  LOCAL          14,000
REQ B  CONNECT SHARE  11,000
EXPECTED LATE DEMAND
      18,000 x 70% =    12,600
```

```
BID PRICE  12,600
ACCEPT IF VALUE > BID
```

```
A: ACCEPT   B: REJECT
```

TOPIC 5.7

Innovation Lab: Revenue Manager for a Day

**PEDAGOGY****Learning Through
Problem-Solving****TIME · 12 min****FORMAT · Groups of 4**

- 1 Each group manages a 180-seat flight with 4 fare classes.
- 2 Every “week” card shows bookings — decide which classes to open/close.
- 3 Calculate final load factor and revenue.
- 4 Highest revenue group explains its strategy.



TOPIC 5.7

Click to reveal each answer

System Check Quiz

Q1**Load factor is...**

- A) Fuel per seat
- B) % of seats filled
- C) Ticket price
- D) Crew hours

ANSWER

B**Q2****Selling more seats than capacity is...**

- A) Nesting
- B) Overbooking
- C) Codesharing
- D) Yield

ANSWER

B**Q3****Late bookers usually...**

- A) Pay less
- B) Pay more
- C) Fly free
- D) Can't book

ANSWER

B**Q4****Accept a booking if its value exceeds the...**

- A) Tax
- B) Bid price
- C) Seat number
- D) Commission

ANSWER

B

MISSION COMPLETE

Key Takeaways

- ✓ RM maximises revenue from perishable seats
- ✓ Dynamic pricing opens/closes classes as demand evolves
- ✓ Drivers: demand, time, season, competition
- ✓ Strategies: overbooking, nesting, O&D, ancillaries

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT MISSION

**Topic 5.8 —
Personalisation in Air
Ticketing**

Thank you · Questions?